

E-23 §3.3 requirement	Simple meaning	What should Technical Validation check?	Validation result / evidence
1. Model setup and running	Someone should be able to understand how the model is set up and executed.	Check model setup, code/process, inputs, parameters and execution instructions. Try to reproduce outputs where appropriate.	Replication results and setup/documentation assessment
2. Limitations and restrictions on use	Developers must clearly state where the model may not work well or should not be used.	Check whether all material limitations are identified and whether usage restrictions make sense.	Limitation assessment with missing/understated limitations identified
3. Data creation, access and maintenance	Documentation should explain how development data is created, obtained and maintained.	Trace development data from source through extraction/transformation to the model dataset.	Data process/lineage assessment
4. Model assumptions	Important assumptions must be documented and reasonable.	Identify key assumptions and independently challenge their rationale and impact.	Assumption review with Pass/Concern/Gap conclusion
5. Model methodology	The chosen modelling approach must be clearly documented.	Assess whether methodology is conceptually sound and appropriate for the intended purpose.	Methodology assessment
6. Expert judgment	Any human judgment used in developing the model should be transparent.	Identify who provided judgment, why it was needed, where it was used and how it affected model results.	Expert judgment assessment

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7. Developer analysis and performance tests	Developers must demonstrate that the model works.	Review and independently challenge development tests and reproduce important performance measures.	Independent performance testing / replication results
8. Methodology selection	Developers should have a reasonable process for choosing the modelling method.	Check alternatives considered and why the selected methodology was appropriate.	Methodology selection / benchmarking assessment
9. Data and variable transformations	Changes made to variables must make sense.	Review transformations, binning, scaling, imputation, feature engineering, etc. Test whether they are justified and correctly implemented.	Variable/feature assessment and replication results
10. Algorithm selection	The selected algorithm should be appropriate for the problem.	Challenge why the algorithm was selected versus reasonable alternatives. For AI/ML, review model complexity and alternatives.	Algorithm/model selection assessment
11. AI/ML training and parameter optimization	AI/ML models need proper training and tuning.	Review train/validation/test split, cross-validation, hyperparameter tuning, leakage and overfitting controls.	AI/ML development assessment , where applicable
12. Explainability requirements	The required level of explanation depends on model purpose and impact.	Check whether users can understand important drivers, outputs and limitations at an appropriate level.	Explainability assessment

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13. Performance criteria for model selection	Developers need objective reasons for choosing the final model.	Check whether performance criteria were defined and consistently applied when comparing candidate models.	Model selection/challenger results
14. Standards for model outputs	There should be rules for how model results are used and reported.	Check output definitions, interpretation, reporting, decision use and any restrictions.	Model output/use assessment
15. Monitoring criteria	Developers should define how model performance will be monitored after implementation.	Review proposed metrics, thresholds, frequency and criteria for identifying deterioration.	Monitoring framework readiness assessment

A good **Model Development Validation Assessment** could contain:

1. **Development documentation completeness review**
2. **Methodology assessment**
3. **Assumption assessment**
4. **Expert judgment assessment**
5. **Variable/feature assessment**
6. **Independent replication**
7. **Independent performance testing**
8. **Model/challenger selection assessment**
9. **Limitations assessment**
10. **Explainability assessment**
11. **Monitoring readiness assessment**